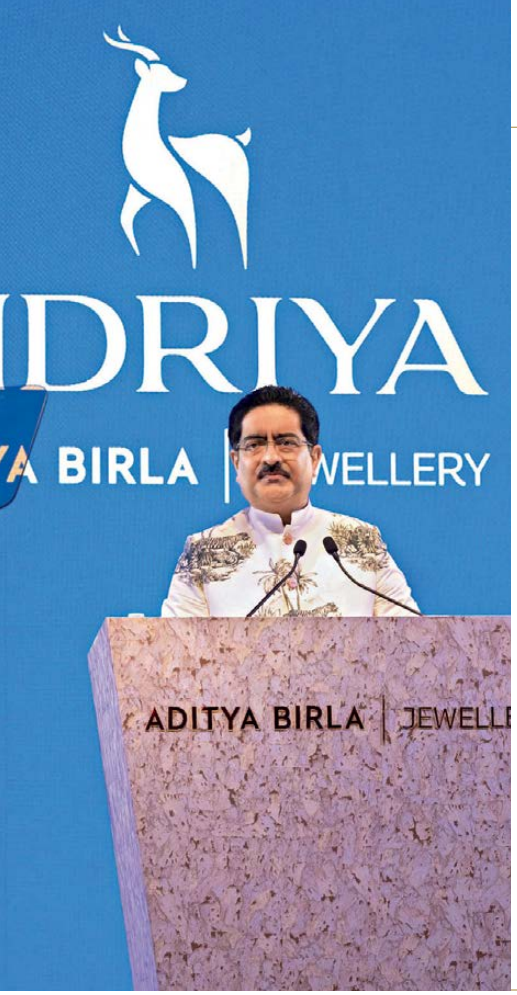


HARDIK CHHABRA

Kumar Mangalam Birla
Chairman, Aditya Birla Group

"Entering the jewellery business is compelling due to the migration from informal to formal sectors, rising consumer preference for strong, trusted brands and the ever-booming wedding market"

INVESTMENT
₹5,000 CR.
Plan for the next few years

NO. OF STORES 4

Mangalam Birla, chairman, Aditya Birla Group, said at the launch of Indriya in New Delhi. The group's move is backed by a significant investment of Rs 5,000 crore.

Not to be left behind, Reliance Retail announced its entry into the ultra-luxury jewellery market this year, signalling plans for further investment in the sector. To build on their first-mover advantage, national players like Tanishq and Kalyan Jewellers are delving deeper into their existing markets, while regional brands like Joyalukkas and Senco are eyeing pan-India expansion. As the festive season approaches, these brands are stocking their shelves with festive-themed jewellery and luring customers with promotions and gifts.

According to a report by financial services firm Motilal Oswal, jewellery is now the most organised retail category in India after apparel and footwear, with 36-38 per cent market share of the overall jewellery market, up from 22 per cent in FY19. While the organised segment is growing at 18-19 per cent, the overall market has expanded by a compounded annual growth rate (CAGR) of over 8 per cent during FY19-24. This trend of formalisation is driven not only by consumer demand but also by factors such as demonetisation, the introduction of the Goods & Services Tax, regulations like the PAN card requirement for purchases above Rs 200,000, and the mandatory hallmarking of gold.

A FAVOURABLE SENTIMENT

India is the second-largest consumer of gold after China, with annual consumption ranging between 700 and 800 tonnes. Of this, 66 per cent is for jewellery, the rest for bars and coins. Most of this demand is met through imports. During FY24, imports increased by over 34 per cent to Rs 3.8 lakh crore from Rs 2.8 lakh in the previous year due to strong domestic jewellery demand, according to Centre for Monitoring Indian Economy (CMIE) data. With the favourable consumption sentiment, retail players have been significantly expanding over the past 4-5 years.

The Rs 18,548 crore Kalyan Jewellers has announced plans to open 130 stores this fiscal year, with 80 showrooms under its flagship brand Kalyan, and 50 under Candere, its lightweight omnichannel brand. "We have a clear vision of being

Glittering Prospects

₹6.4 LAKH CR.
Value of India's overall jewellery market

37%
Share of organised retail in FY24. It was 22% in FY19

63%
Share of local goldsmiths and jewellers in FY24

How India Likes Its Gold

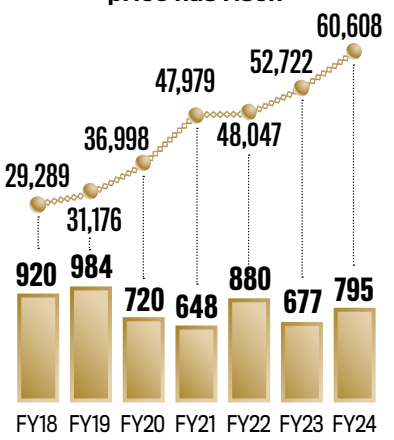
66% JEWELLERY

34% BARS & COINS

Source: Motilal Oswal jewellery report

Yellow Metal Thirst

Despite some fluctuations, including during the pandemic, gold consumption has increased even as its price has risen



(Figures rounded off)

Source: CMIE Economic Outlook and MCX